holdings in the Indian subsidiaries with the Indian partner getting the minority shares or a total exit.

18. The permission of working was withdrawn in the case of already functioning soft drink MNC the ***Coca Cola.*** The ongoing process of entry to the computer giant ***IBM*** and automobile major ***Chryslller*** was soon called off. These instances played a highly negative role when India invited the foreign direct investment in the reform era post-1991.
19. A total number of 95 industries had the compulsions of licencing till then. These industries belonged to Schedules B and C of the Industrial Policy Resolution, 1956.
20. This was similar to the policy being followed by Gorbachev in the USSR with the similar fiscal results—a severe balance of payment (BoP) crisis by end 1980s and the early 1990s (Rosser & Rosser, ***Comparative Economics in A Transforming World,*** PHI & MIT Press, N. Delhi, 2004, pp. 469–75).
21. The ***Seventh Five Year Plan (1985–90)*** as well as the ***Sixth Five Year Plan (1980–85)*** had already suggested the Government to re-define the role of state in the economy and permit the private sector into those areas of industries where the presence of the Government was non-essential, etc. But such a radical approach might not be digested by the country as it was like 'rolling back' the state. This is why the Government of the time looks not going for full-scale economic reforms or vocal moves of the liberalisation.
22. Vijay Joshi and I.M.D. Little, ***India's Economic Reforms, 1991–2001,*** OUP: Clarendon Press, London, 1996, p. 17.
23. ***Economic Survey, 1990–91 & 1991–92,*** N. Delhi. GOI, MoF.
24. Sach, Varshney and Bajpai, op.cit., p. 2.
25. ***'Economic Reforms: Two Years After and the Task Ahead',*** Discussion Paper, Ministry of Finance, Department of Economic Affairs, GoI, N. Delhi, 1993, p. 6.
26. Ibid.
27. Bimal Jalan, ***India's Economic Crisis: The Way Ahead,*** OUP, Delhi, 1991, p. 2–12.
28. Sach, Varshney and Bajpai, op.cit., p. 2.
29. Rakesh Mohan, ***Industrial Policy and Controls*** in the Bimal Jalan edited, ***The Indian Economy: Problems & Prospects,*** op.cit., p. 92–123.
30. In 1985–86 there were just 64 industries under the compulsory licencing provision. By the fiscal 1996–97 the number remained six (Economic Survey, 1996–97 GoI, N. Delhi.). Though the numbers are still six, all these six industries have many internal areas which today carry no obligation of licencing. As for example, the electronic industry was under this provision and entrepreneurs needed licences to produce radio, TV, tape-recorder, etc., what to ask of mobile phones, computers, DVDs and i-pods. Now only those electronic goods carry licencing provision which are related to either the aero-space or the defence sectors—thus we see a great number of electronic industries freed from the licencing provision the item 'electronics' still remains under it. Similarly while 'drug & pharma' still belong to the licenced industries, dozens of drugs and pharmaceuticals have been made free of it. The six industries have gone for high level internal de-licencing since the reforms started.
31. ***Economic Survey, 1994–95,*** GoI, N. Delhi.
32. It becomes very complex and tough to regulate the individual foreign investment in the share market though it is an easier way of attracting foreign exchange. It should be noted that the South East Asian economies which faced financial crisis in 1996–97 all had allowed